www.tntextbooks.in

has to procure what it cannot produce more efficiently. This enables the countries to optimally utilize the scarce resources available with them

3. Economic Development.

International business helps the developing countries greatly in achieving rapid economic development by importing machinery, equipment, technology, talent, and so on. For example., China, India, Brazil and South Korea which were once slower in their economic development are achieving faster economic development due to international business. Even the developed countries like Japan, USA, UK, etc., have achieved remarkable economic progress through the import of raw materials and export of manufactured goods.

4. Generation of Employment.

International business generates employment opportunities by assisting the expansion and growth of agricultural and industrial activities. It provides direct employment to those people who are hired by export and import firms and generates indirect employment to number of intermediary firms like, clearing and forwarding agent, indent houses transport organizations, outsourcing agencies, etc.

5. Higher Standard of Living.

On account of international business, the citizens of the country can buy more varieties of goods and services which cannot be produced cost effectively within the home country. This exchange of goods and services among the countries enhances the standard of living of people.

6. Price Equilisation

International business helps to stabilize the prices of various commodities which are fluctuating on a daily basis in the world market. Whenever the price of a commodity rises sharply in a particular country, the same commodity is imported from some other foreign countries to prevent the sharp rise in prices in the home country. Thus international business prevents violent fluctuations of prices of various commodities and helps maintain prices of various commodities at stable level in each and every country.

7. Prospects for Higher Profit.

International business helps the firms which produce goods in excess to sell them at relatively higher price to various countries in the international market. This enables them to earn higher profit.

8. Capacity Utilisation.

International business enables the firms across the country to sell their goods and services on a large scale in the international market. As a result their machinery and equipments are used to their full capacity. In short very prospect of selling goods in international market besides selling the goods in home market keeps the machineries, tools, equipment, and factory fully engaged all through the year.

9. International Peace.

International business makes countries across the world become inter-dependent while these countries are independent in their functioning. This facilitates the exchange of